Unpacking China's Two Sessions: takeaways for 2026 and beyond

China s 2026 GDP growth target was lowered to 4.5-5%, after three straight years of "around 5%" targets. Most other targets were left unchanged. The slight softening shows that growth stability remains important, but steady fiscal targets are also signalling a reluctance to lean too heavily on fresh stimulus to bolster growth

4.5-5.0% YoY China's 2026 GDP growth target

GDP growth target lowered for 2026

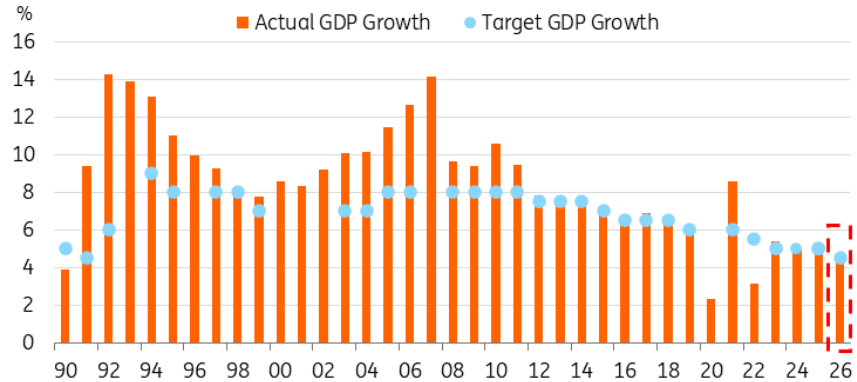
China s annual target-setting is always an important event. Since GDP growth targets were first published in 1990, China has fallen short of the target only a couple of times. Generally, betting on China to miss its target has been a losing bet for forecasters.

This year s GDP growth target was reduced to 4.5-5.0%, a slight softening from the more ambiguous "around 5%" target set in the past three years. While it was debatable how much flexibility "around 5%" entailed, most market participants viewed this as within 0.2-0.3pp of 5%. With the new target, there appears to be a tolerance for slower growth, which should give policymakers more flexibility to pursue quality growth, a priority in recent years. Combined with China s anti-involution drive, there will be a focus on reducing wasteful and duplicative investment while improving synergies and building on China s long-term strategic direction. As the 15th Five-Year Plan has laid out, the key focuses are on improving industrial modernisation, improving technological self-reliance, and ramping up domestic demand.

With that said, the 4.5% threshold represents only a rather limited slowdown; China s longer-term growth ambitions remain unchanged. The government work report outlined an intention for "laying a solid foundation for doubling per capita GDP by 2035 compared to 2020," a key goal set by President Xi in the past.

The softer GDP target was in line with our expectations, as we had hints of this outcome earlier when various provinces also revised growth targets lower. Our GDP forecast for the year is 4.6% year-on-year, which would fall within this range.

China rarely falls short of its growth target



Sources: CEIC, ING

Other key targets mostly stable for 2026

There was little surprise in the other targets as well.

The inflation target, having been reduced to "around 2%" last year, remained unchanged. We expect inflation to rise this year to around 1% YoY, with the recent events in the Middle East potentially adding to upside risk on this number if supply disruptions persist. The inflation target has historically not been prioritised as aggressively as the GDP target, and the final level often deviates significantly from the target. As such, we don t expect this to play a significant role in monetary policy decision-making, where we still see a case for further easing this year.

The employment target for new urban employment has been set at "around 12 million" since 2023, while the urban unemployment target was set at "around 5.5%" since 2021, and both targets have remained unchanged. There will likely be continued focus on improving employment conditions for youth, who have suffered a disproportionately high unemployment rate in recent years amid more cautious hiring.

The fiscal targets were arguably the only area where there was a more lively debate on whether or not we d see adjustments. While the fiscal deficit-to-GDP target of around 4% was expected to remain the same, it was unclear whether we d see a small uptick in the bond issuance targets. This hasn't turned out to be the case, with another RMB 4.4tn of special local government bond issuance and RMB 1.3tn of ultra-long-term bond issuance targeted this year. The report also noted that the central government will ramp up fiscal transfers to the local government.

In our view, this suggests that while growth stability remains an important objective, the stable fiscal deficit and bond issuance targets indicate a degree of restraint, avoiding relying too much on extra stimulus to drive growth at the cost of growth quality. This may disappoint some watchers who had hoped for a stronger fiscal stimulus push. We believe there is still hope that the impact of fiscal policy could improve this year, with potentially more money available to go into the real economy rather than being used to bring off-balance-sheet debt onto the books. The government previously signalled its intent to stabilise investment growth in 2026 after 2025 saw a record low for fixed asset investment growth.

Growth target softened but other key targets left unchanged

	2023	2024	2025	2026
GDP (% YoY)	Around 5%	Around 5%	Around 5%	4.5-5.0%
Inflation (% YoY)	Around 3%	Around 3%	Around 2%	Around 2%
New urban employment	Around 12 mn	Around 12 mn	Around 12 mn	Around 12 mn
Urban Unemployment Rate (%)	Around 5.5%	Around 5.5%	Around 5.5%	Around 5.5%
Fiscal deficit (% of GDP)	3%	3%	Around 4%	Around 4%
Special local government bond issuance (RMB)	3.8 tn	3.9 tn	4.4 tn	4.4 tn
Ultra-long term bond issuance (RMB)	NA	1 tn	1.3 tn	1.3 tn
Fiscal Policy Stance	"Adhere to proactive fiscal policy"	"Moderately strengthen proactive fiscal policy"	"Implement a more proactive fiscal policy"	"Implement a more proactive fiscal policy"
Monetary Policy Stance	"Adhere to prudent monetary policy"	"Prudent monetary policy"	"Implement a moderately loose monetary policy"	"Implement a moderately loose monetary policy"

Sources: Various media sources, ING

The key focus this year will be on boosting domestic demand

The government work report also laid out the key objectives for the government in 2026.

In pole position is focusing on building a strong domestic market and boosting domestic demand. This sentiment has been repeatedly featured in past high-level meetings, and the government work report mentioned "special action to boost consumption" this year.

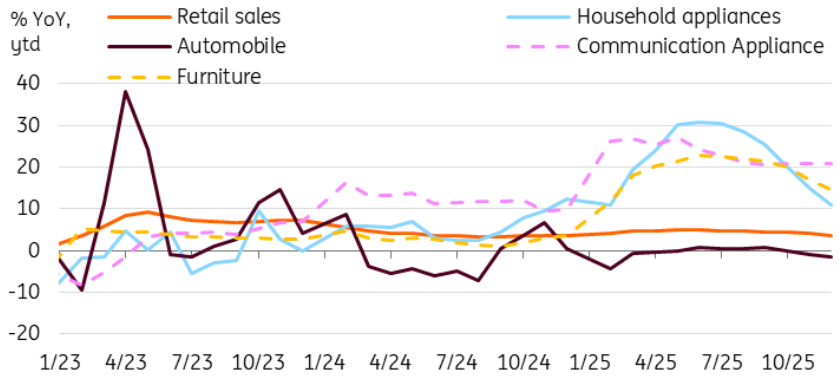
- Trade-in policy scale pared down from RMB 300bn in 2025 to RMB 250bn in 2026. One of China s flagship policies to boost consumption has been the trade-in policy, which has been successful in bolstering beneficiary categories in the past few years. However, the peak of the impact has passed, and it looks likely to move from tailwind to headwind this year.
- Continued support for consumer credit: a RMB 100bn fund for promoting domestic demand will be established, aiming at facilitating loan interest subsidies and financing guarantees.
- Investment will be funnelled into strategic priorities, while continuing to crack down on inefficient investment. RMB 7565bn of central government budgetary investment and RMB 800bn of ultra-long-term bonds will be allocated for projects to further the key national

strategies and build out national security objectives.

- Our bold call for China in 2026 could be coming to fruition as well. The government work report mentioned supporting eligible regions in promoting spring and autumn breaks for primary and secondary schools and implementing a paid staggered-leave system for employees. Staggering holidays could help bolster domestic tourism, which suffers from heavy overcrowding during national holidays, and help smooth overall consumption. We expect progress on this front to be incremental, but it is a positive sign nonetheless, as it is relatively low-hanging fruit.

Other than domestic demand, policymakers continue to prioritise creating new growth drivers through innovation and securing technological self-reliance. Key tech sectors such as AI, semiconductors, and cloud computing will likely continue to benefit from outsized investment.

Trade-in policy tailwinds could reverse in 2026 as scale is reduced



Sources: CEIC, ING

The next steps in China's "high-level opening up"

China has come under increasing pressure from abroad, as its trade surplus surged to nearly USD 1.2tn in 2025. In order to address these issues, there was mention of actively expanding imports to promote a more balanced trade development, as well as aiming to sign more bilateral trade and investment agreements. The stronger CNY thus far this year could help contribute to this process.

China continues to open up aspects of its economy. In 2026, the focus includes expanding market access for the services industries, where a pilot zone for the services sector opening up will be established. The government work report signals further opening up telecom, biotech, and healthcare sectors. There will also be pilot programmes to open up the digital sector. In order to continue to attract foreign investment, China will aim to guarantee national treatment for foreign investments and promote two-way investments.

China's Five-Year Plan locks in on four strategic priorities for the rest of the decade

China s Five-Year Plans often give insight into the longer-term priorities and can be seen as setting the framework for future policy direction.

For the current Five-Year Period of 2026-2030, the government work report highlights four

strategic priorities:

1. Promote high-quality development: a focus on quality continues to emphasise scientific and technological innovation, building a modern industrial system focused on advanced manufacturing and green development. The plan targets the digital economy to reach 12.5% of GDP, and for R&D expenditure to grow by 7% per year over the current five-year period.
2. Strengthening the domestic economy: amid external uncertainties, strengthening domestic demand is of high importance. The plan calls for significantly boosting consumption, eliminating local protectionism, and investing in improving the goods and services sectors.
3. Promote common prosperity: encourage fertility and address population ageing, improve education, elderly care, promote quality employment, improve income distribution, and strengthen the social security system.
4. Coordinate development and security: targeting various aspects of national security, such as food security, energy security, and resolving key risks, such as the property market and local government debt.

What does this mean for China s economy? The trends we have seen in the past few years are likely to continue, with an increased focus on moving up the supply chain and improving tech self-reliance. The big question mark will be how successful China is in boosting its domestic demand, as domestic confidence remains tepid and continues to restrain this effort.

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The Commodities Feed: Putin's gas threat to the EU adds to upside risk for markets

Upside risks are building for the European gas market as President Putin suggests Russia could reroute some gas away from the EU. This comes at a time when the global LNG market is facing significant disruptions from the Persian Gulf

Energy- Putin's gas threat to the EU

We could see a strong open in European gas markets today, with President Putin saying Russia will consider redirecting gas supplies away from the EU. Russian gas flows to the EU have fallen substantially in recent years and flows were set to gradually start falling further from April 2026 through until the end of 2027 amid an EU ban on Russian gas imports. This poses risks to the European balance amid the current supply impact from the Persian Gulf. Meanwhile, EU gas storage is tight at less than 30% full and around levels seen at the same stage in 2022.

Putin's threat puts a sizeable amount of supply at risk. In 2025, the EU imported almost 38bcm of natural gas/LNG from Russia, 12% of total EU gas/LNG imports. These imports from Russia consisted of 20bcm of LNG and 18bcm of pipeline flows (via Turkstream).

We believe LNG flows are the key risk. In more normal times it would be more manageable with

the global LNG market to see an adjustment in trade flows over time. However, with 110bcm per year of Persian Gulf impacted currently, this would be a challenge for Europe. The tightness in the global LNG market amid Middle East developments means Asian buyers are looking for alternative supply. Spot Asian LNG has traded as much as a $6/MMBtu premium to TTF this week, although the spread has fallen back to around $3.40/MMBtu more recently.

Meanwhile, there is probably less risk to the majority of pipeline flows, with Putin likely to continue to supply Hungary and Slovakia. It is also more difficult to divert pipeline flows, unless Turkey takes a portion of this pipeline gas amid LNG shortages. We will need to wait to see how serious Putin's threat turns out to be, and logistically, how easy it would be to divert LNG flows. It would be more doable through spring and summer, as vessels can take the northern route to Asia.

Clearly, this news will only exacerbate supply jitters in the European gas market, leaving upside in the short-term to TTF, assuming markets have to continue to face Persian Gulf LNG supply disruptions.

Metals – Aluminium hits 2022 high as Alba declares force majeure

Aluminium prices surged to a four year high on the LME after Aluminium Bahrain (Alba) declared force majeure on supply contracts, citing the closure of the Strait of Hormuz.

LME aluminium climbed to $3,418/t, its highest level since 2022. Alba is one of the world's largest aluminium producers, with output of 1.623 million tonnes in 2025. Any prolonged disruption would have meaningful implications for global supply balances.

The announcement follows additional supply-side stress earlier this week, when Norsk Hydro issued a force majeure notice to customers over shipments from the 636kt/year Qatalum smelter in Qatar. Operations at the facility were affected by Iranian drone strikes, which led to a suspension of natural gas supplies.

Physical markets have responded quickly. European premiums strengthened sharply, with the Rotterdam duty paid aluminium premium rising above $400/t this week, according to Fastmarkets data. Tjis underscored tightening availability in the region. The Gulf Cooperation Council (which includes Bahrain, Oman, Qatar, Saudi Arabia, UAE) accounts for around 8% of global aluminium output.

We remain bullish on aluminium, with geopolitical risks in the Middle East keeping supply-side concerns firmly in focus and supporting both prices and regional premiums.

In precious metals, gold recovered some of the losses from the previous session as dip buyers returned to the market. Prices briefly slipped below $5,000/oz during Tuesday's session, triggering renewed buying interest. Silver also clawed back some losses after dipping below $75/oz.

Looking ahead, gold faces competing macro forces. The inflationary impact of the Middle East conflict, via sharply higher energy prices, could reinforce expectations of higher interest rates for longer -- a headwind for non yielding assets such as gold. However, elevated geopolitical uncertainty continues to support a risk premium, helping to underpin prices despite the challenging rates backdrop.

Agriculture – Indian fertilizer producers set to scale back

Indian fertilizer producers are preparing to scale back output given Persian Gulf disruption to LNG flows. Some companies, including Indian Fertilizer Cooperative Ltd., have already reduced operations at certain urea plants, and prolonged disruptions could lead to shutdowns. Rising input costs — notably ammonia and sulphur — are adding further pressure. Extended supply constraints may also force India to rely on higher priced fertilizer imports ahead of the monsoon. Meanwhile, Pakistan's Sui Northern Gas Pipelines Ltd. has informed customers that it cannot supply LNG to fertilizer plants due to the ongoing conflict.

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Credit – 2022 all over again?

Risk-off in credit gets amplified as credit begins to sell off on the back of the escalations in the Middle East. We note many similarities between this and the Russia-Ukraine war breaking out in February 2022. But is the credit reaction really that similar?

We see the current sell-off as more orderly than in February 2022. We think we will eventually see value in credit

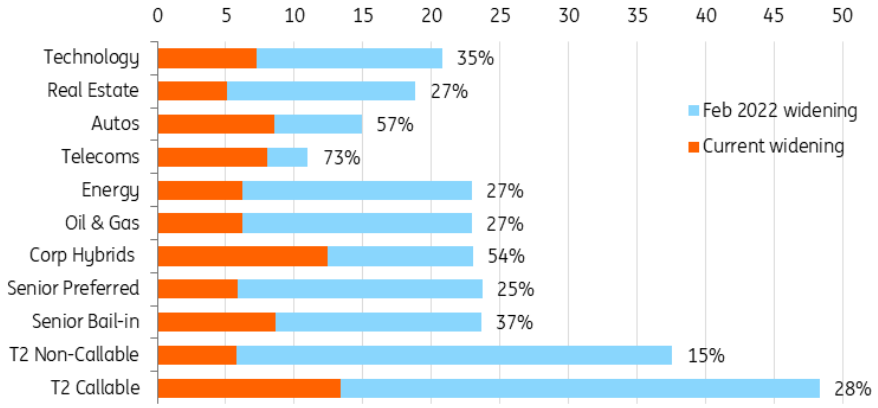
We note many similarities between this and the Russia-Ukraine war breaking out in February 2022. However, this time around the sell-off is so far less severe and is certainly more orderly.

As such, a similar reaction in credit in the coming weeks is likely. But the sector differences thus far are certainly evident. We break down the reaction we saw last time per sector and compare that to the initial reaction we are seeing now.

In addition, as reported by our rates strategist in the latest Rates Spark Day two and the pendulum swings again, the carry trades can suffer in a more volatile environment. "The possibility of ECB rate hikes poses a serious risk to carry trades and could trigger a significant widening of eurozone government bond (EGB) spreads". The same risks are certainly very prevalent in credit, which will drop a notable amount of demand from the market.

Sectors such as Banks, Retail, Travel, Real Estate, Consumers, Energy and Oil & Gas are all outperforming this time around with relatively less widening thus far compared to February 2022. On the other hand, Telecoms, Autos, Healthcare and Consumer goods are seeing relatively significant widening.

Spread widening now (4 trading days) vs February 2022 (12 trading days)



Source: Macrobond, ING

In February 2022, curves went much flatter initially as the short end was under a lot of pressure with about 15-22bp widening, whereas now we are seeing a continuation of long-end underperformance and steeper credit curves.

The table below looks at the total widening seen per sector in the initial 12 trading days of February 2022 when spreads peaked before starting to retrace. Alongside that is the widening we have seen in these initial four trading days and how much widening has been pencilled in per sector versus February 2022 as a percentage.

Spread Developments February 2022 vs Current

	Feb 2022 widening (12 trading days)	Current widening (4 trading days)	% widening complete
Non-Financials	16	7	41%
Corp Hybrids	23	12	54%
Automobiles & Parts	15	9	57%
Consumer Goods	15	8	52%
Consumer Services	26	6	22%
Food & Beverage	16	8	49%
Personal & Household Goods	14	8	57%
Retail	51	7	13%
Travel & Leisure	26	6	22%
Health Care	12	7	55%
Real Estate	19	5	27%
Telecommunications	11	8	73%
Media	14	5	39%
Technology	21	7	35%
Energy	23	6	27%
Utilities	18	5	29%
Oil & Gas	23	6	27%
Basic Resources	39	5	14%
Basic Materials	22	7	30%
Chemicals	18	7	40%
Construction & Materials	24	8	31%
Industrial Goods & Services	13	7	51%
Industrials	14	7	47%
Financials	24	8	33%
Banks Senior	24	8	33%
EUR Banks Senior Preferred	24	6	25%
EUR Banks Senior Bail-in	24	9	37%
EUR Banks Tier 2	43	12	29%
EUR Banks Tier 2 non-callable	38	6	15%
EUR Banks Tier 2 callable	48	13	28%
EUR AT1	152	37	25%
Financial Services	17	7	45%
Insurance Senior	19	10	54%
Insurance Subordinated	43	14	32%

Source: Macrobond, ING

Telecoms (73%), Personal & Household goods (57%), Autos (57%), Healthcare (55%) and Consumer goods (52%) have seen relatively more widening versus February 2022, and thus could enter the value zone for buying opportunities quicker.

On the other hand, Basic Resources (14%), Retail (13%), Travel & Leisure (22%), Real Estate (27%), Consumer services (22%) and Basic Materials (30%) are outperforming currently, and may be areas to position within for the time being.

The energy sector is an interesting one as Energy, Utilities and Oil & gas names are all outperforming versus last time, with just 27-29% of widening relatively.

Financials were overall worse off in February 2022, meaning the more uniform widening seen this time around leaves the percentage of widening at just 33%. Within banks, it s been bail-in senior that's widened more, with 37% of the previous widening pencilled in. Meanwhile, the senior preferred segment has only widened by 25%.

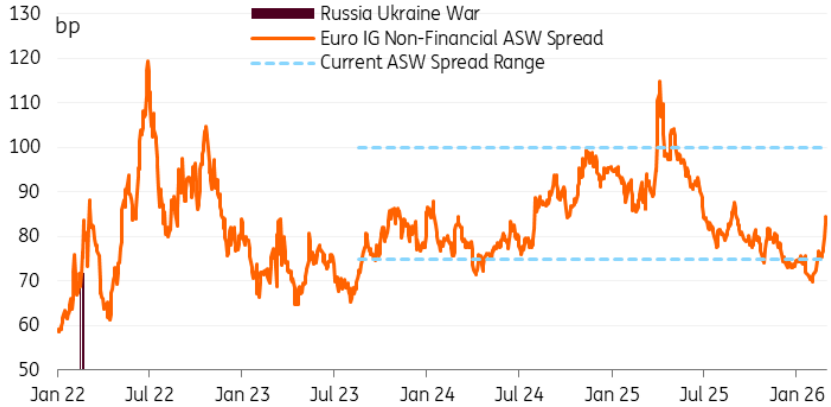
Subordinated bank bonds see a mixed bag, with non-callable T2 bonds outperforming with only 15% widening after just 6bp widening over the past four sessions. Callable, on the other hand, is up at 28%, whilst AT1 has seen 37bp widening thus far. This is only 25% of the widening seen in February 2022, as the product holds firmer. Corporate hybrids, on the other hand, with the 12bp widening thus far accounted for 54% of the widening seen in February 2022.

Back in February 2022, during the beginning of the Russia-Ukraine war, we saw spreads initially move around 9-10bp in the first week and peaked at 16bp wider for non-financials and 24bp wider for financials after 12 trading sessions.

Thus far, this time around (within the first four trading days) we have seen widening of 7-8bp on the non-financial and financials indices. This accounts for 41% of potential widening for non-financials. Given that it's been a somewhat uniform widening, it does leave some potential for more underperformance in certain sectors. Financials were overall worse off in February 2022, meaning the more uniform widening seen this time around leaves the percentage of widening at just 33%.

If we see a similar move over the next couple of weeks that we saw back in February 2022, we are likely to remain in the range we have outlined but now once again on the wider range, at which point credit begins to look attractive.

Spread developments and trading range (non-financial)



Source: Macrobond, ING

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Article | 4 March 2026

Webinar: Central banks, energy prices and the rate hike dilemma

Join ING's economists and strategists on 10 March for a live 45-minute webinar, as they discuss how higher energy prices are reshaping the interest rate outlook and what it all means for FX markets. Sign-up here

Webinar details

Higher energy prices could hardly come at a more pivotal time for central banks. With inflation risks now growing and the March Fed, ECB and Bank of England meetings looming, rate cuts risk being curtailed, and talk of rate hikes will inevitably grow.

Join ING's economists and strategists for a live 45-minute webinar as they discuss how higher energy prices are reshaping the interest rate outlook for the rest of 2026 and what it all means for FX markets. Sign up here.

You'll discover:

- How high energy prices would need to rise – and how long they'd need to stay elevated – to trigger central bank rate hikes.

- ING's expectations for the March central bank meetings.
- Potential interest rate scenarios for the rest of 2026.
- What higher energy prices mean for EUR/USD and broader FX markets.

Details:

When: Tuesday 10 March

Venue: Online via ING webinars

Time: GMT: 14:00, CET: 15:00, ET: 09:00

Speakers:

- Carsten Brzeski (Global Head of Macro Research)
- James Knightley (Chief International Economist
- James Smith (Developed Markets Economist)
- Chris Turner (Global Head of Markets and Regional Head of Research for UK & CEE)

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Middle East conflict: a blow for airlines on the East-West corridor

The conflict in the Middle East has already led to more than 10,000 flight cancellations, leaving large numbers of passengers stranded and causing major disruption across global travel networks. For airlines, the financial and operational impact is significant

The conflict in the Middle East has already led to more than 10,000 flight cancellations

Intercontinental carriers in the eye of the storm

The outbreak of war in the Middle East on 28 February triggered an immediate wave of flight cancellations across the region. Beyond disrupting travel, it has further complicated intercontinental airspace at a time when geopolitical routing constraints were already high. Over the past decade, the Middle East has become increasingly important for global aviation, with rapidly developed hubs in Abu Dhabi, Doha and Dubai – now the world's busiest international airport – sitting at the heart of East West traffic corridors. As a result, the war affects not only travel to and from the Middle East but also key connecting routes to India, Southeast Asia, Australia and Europe.

Financially, the biggest hit falls on intercontinental carriers operating in the region and Middle Eastern airlines in particular, while US carriers are less affected. Still, most airlines – especially those without fuel hedges – will feel the impact too. This was reflected in the initial stock

price reactions on 2 March, and will weigh on first-quarter and potentially second-quarter results.

1 Cancellations come with inefficiencies, extra costs and missed revenue

Large airlines with home bases in hubs in the region, including Emirates, Etihad and Qatar Airways, are involved in the mass cancellations, but European and Asian carriers with intercontinental networks have seen a significant impact on operations as well. Major carriers such as Air France, KLM and Lufthansa have suspended flights to the region for at least most of the week. And the operational impact will likely drag on in the weeks to come. When we compare this with the usually shorter disruptions from severe winter weather or strikes, we know this disorder will weigh heavily on financial results in the first quarter.

2 Airlines are now seeing an even more complicated airspace

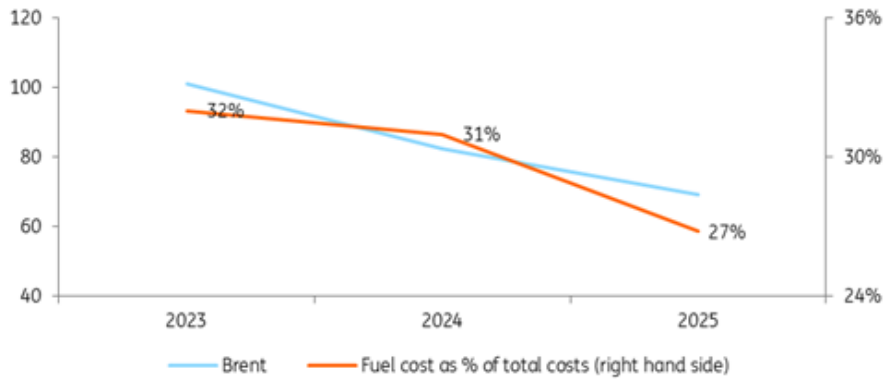
Airlines already operate within a highly sensitive geopolitical landscape, and today's airspace reality is increasingly complex. With Russian airspace closed and multiple Middle Eastern routes now suspended, carriers must navigate a patchwork of restrictions, safety rules and elevated operational risks – making long haul routing more complicated than ever, with rerouted flights and detours. It s still possible to connect East and West, but it could come with longer mileages, flight durations, higher fuel burn and costs.

3 Higher fuel costs will push expenses up – but the impact will vary as hedges soften the blow

Airline fuel costs can account for 20-30% of total airline operating costs, especially for long-haul carriers. When jet fuel prices go up, this quickly leads to higher costs. Jet fuel prices are much more connected to oil price development than fuel prices at the motorway gas station because there are no excise duties available, and most international tickets are also exempted from VAT. Higher fuel prices could quickly lower tight margins in the short run for tickets booked and sold, and airlines will need to adjust their ticket prices to keep revenues up. At the start of the year, oil prices hovered around $60 a barrel, and at the start of March, they were $80. We expect oil prices to come down later on this year, but this depends on the evolving conflict.

Fuel accounted for 27% of operating costs last year, and those costs move closely in line with oil prices

Annual brent prices in $ per barrel and share of fuel costs in total costs for airlines per year (global average)



Source: IATA, ING Research

The impact of this will be uneven, though, and it varies with the extent to which carriers hedged future fuel price rises. This dampens the impact of fuel price volatility in the short term. Several European flag carriers hedge their fuel bills, but it depends on the company s strategy. Air France KLM and Lufthansa fixed fuel costs at 62% and 90%, respectively, at the end of 2025. European low-cost carriers, including Easyjet (80%) Ryanair (around 80%), and Wizz Air (83%) also have high hedge ratios and will largely be shielded from impact as they operate within Europe. Instead, large US carriers American Airlines, Delta Air Lines and United Airlines, usually don t hedge, while Asian carriers also have less conservative policies for managing fuel costs. For US carriers, it means they bear less fallout, but still feel the impact of higher fuel prices.

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War in the Middle East – implications for markets and macro

From cautious optimism on Friday to full-scale US and Israeli strikes by Saturday morning and uncertainty about what s next, military action in the Middle East has the potential to reshape the region – but it could also have significant implications for the global economy and markets

With events in the Middle East still evolving rapidly, two rather abstract scenarios could potentially unfold from here for macro and markets

The coordinated attacks on Iranian military, nuclear, and leadership sites, including the reported killing of Supreme Leader Ayatollah Khamenei, represent a profound shock to Iran's political system and a fundamental rupture in what had still looked, only a few days ago, like an ongoing diplomatic process. A third round of nuclear talks in Geneva had just concluded with the Omani mediator reporting "significant progress". Washington apparently disagreed.

The stated US objective has evolved well beyond nuclear containment. US President Donald Trump's direct address to the Iranian people, "take over your government, it will be yours to take", alongside Israeli Prime Minister Benjamin Netanyahu's framing of "removing an existential threat," makes regime change the explicit goal. That is a significant, legally contested, and historically dangerous step. Middle Eastern history offers little encouragement for the proposition that civilian populations seize orderly control once leadership structures collapse. Power vacuums tend to produce civil war, hardline consolidation, or prolonged fragmentation; sometimes all three.

Contrary to the attacks on Iran last summer, Tehran didn't wait long with its response. Firing back within four hours, hitting Israel, US bases in Bahrain, Kuwait, and Qatar, and civilian infrastructure across the Gulf, shows contingency plans were already on the shelf.

Needless to say, this remains a fast-moving environment. From a market perspective, two rather abstract general scenarios could evolve from here.

Two general scenarios that matter for markets

From here, the possible military and geopolitical scenarios could fill a book and also seem to change by the day. For financial markets, the branching point is simpler and more brutal: does this end in days, or does it become a forever war that involves an entire region?

Scenario 1: Four to seven days, then internal Iranian uncertainty

US and Israeli strikes exhaust fixed military targets quickly, operational tempo drops, and a de facto ceasefire emerges within the week. Iranian retaliation stays bound, damaging enough to be politically useful domestically, but not enough to draw a decisive US counter-escalation. The Strait of Hormuz sees harassment but no serious disruption, partly because Tehran's own oil exports to China depend on it. The regime either survives in weakened form or fractures into a messy internal transition.

For markets, this is the June 2025 playbook: an initial oil spike, which fades as Hormuz disruption fears ease. A temporary war risk premium, with no lasting macro implications.

Scenario 2: Iranian retaliation forces Trump's hand – the forever war

President Trump already said on Sunday evening that the war could last up to four or five weeks. Iranian retaliation, which has hit 10 countries so far, does not point to any imminent de-escalation. In this more severe scenario, strikes continue past fixed military targets into infrastructure and mobile assets, lowering operational tempo but extending the timeline indefinitely. Iran, backed into a corner with regime survival in question, escalates asymmetric economic warfare with sustained harassment of tanker traffic, activation of Houthi attacks on Red Sea shipping, and attempts to disrupt the Strait of Hormuz.

Even partial disruption to a chokepoint handling 20 million barrels per day of oil and over 100 bcm of LNG annually produces a supply shock of historic proportions. The whole region becomes unstable. The market implications are materially different: oil moving toward $100 and beyond, a genuine equity market correction, a flight to bonds that holds rather than reverses, prolonged supply chain disruption for both China and Europe, and a central bank dilemma that has no clear answer.

How to think about implications for the global economy

1 Global trade: A supply shock at the worst possible moment

The Iran war lands on a global trading system that had already been under stress from Trump's tariff offensive and the lingering fragmentation of supply chains since Covid and the war in Ukraine. The Strait of Hormuz is the single most important chokepoint in global energy trade, and it now sits in an active warzone.

Even without a formal blockade, the commercial consequences are already unfolding: insurers are cancelling cover, shipping premiums are spiking, and vessels are re-routing or pausing transits. The knock-on effects extend well beyond energy. Gulf airspace closures are disrupting aviation corridors between Europe and Asia. Houthi reactivation in the Red Sea would close the alternative routing valve that kept goods moving during earlier episodes of Hormuz tension.

In a prolonged conflict, the combination of higher energy costs, disrupted logistics, and a generalised confidence shock would constitute a meaningful drag on global trade volumes at precisely the moment the world economy was still digesting the inflationary and growth consequences of the tariff shock. The mother of all bad timings.

2 The US: Fighting a war that raises domestic prices

For the US, even though the trade exposure to the Straits of Hormuz is limited, higher global oil prices would fuel the current cost-of-living crisis. US consumers are already stretched, and gasoline prices are acutely politically sensitive going into midterm territory. Higher oil prices would also complicate the Federal Reserve s future monetary policy path.

A second supply-side inflation shock, while the inflationary impact from tariffs is still unfolding, could make further r ate cuts hard to justify, at least in the nearer term. At the same time, if the conflict drags and uncertainty weighs on business investment and consumer confidence, the growth outlook darkens too.

The one partial offset is that the US itself is a major oil producer; higher oil prices benefit the shale patch and improve the terms of trade for domestic energy, even as they hurt consumers. But that balance is politically awkward to explain and economically insufficient to compensate for the broader damage.

3 The eurozone: The most exposed major economy

Europe is where the macro consequences hit hardest, and the timing could not be worse. The eurozone was finally emerging from its long period of stagnation, with tentative green shoots of recovery emerging – though recently, these have been undermined by new uncertainty regarding tariffs. Now the region could face an energy shock on top of a trade shock.

Europe imports essentially all of its oil and a significant share of its LNG. A surge in energy prices and potentially even energy supply disruption could bring back memories of the energy cost crisis from late 2021 to 2023. There are currently two important differences compared with the situation back then: Europe doesn t have to derisk from a single important energy provider; and the oil price crisis comes at the end of the winter, not the start.

The European Central Bank is caught in a genuine dilemma. Services inflation is still sticky, and an oil shock would push headline inflation higher – yet the growth outlook is simultaneously deteriorating under the combined weight of tariffs, uncertainty, and now energy costs. Back in December, an ECB analysis showed that a 14% increase in oil prices would push up inflation by 0.5ppt and could reduce GDP growth by 0.1ppt. However, this would only be the price effect, not the supply chain disruption effect. Given the still relatively fresh memories of the recent inflation surge, the ECB is unlikely to see any new oil price-driven inflation spike as transitory or even deflationary. However, to see a rate hike, the eurozone economy would have to show clear

resilience.

4 Asia: Inflation and trade balances could come under strain

For now, Asia seems to be able to absorb the jump in oil prices, thanks to the low starting points with inflation broadly in control in most of Asia. However, the severity and persistence of higher prices will ultimately determine the impact. If sustained, Asia is particularly vulnerable to oil price volatility because it relies so heavily on imports; except for Australia, Malaysia and Indonesia, all other economies run deficits in oil and gas trade, leaving them exposed when energy costs rise. If higher prices persist, three factors will shape the impact:

- **Heavy dependence on Middle Eastern oil**: A significant share of Asia's crude supply comes from the Persian Gulf. Japan and the Philippines rely on the region for almost 90% of their oil needs, while China and India import roughly 38% and 46% respectively. Any disruption in the Strait of Hormuz – a critical shipping lane – would restrict supply, potentially causing shortages that slow business activity and put pressure on manufacturing across Asia.
- **Trade balances under strain**: Even without a physical supply disruption, higher global oil prices worsen trade balances and add to inflation pressures. Thailand, Korea, Vietnam, Taiwan, and the Philippines are the most exposed. A mere 10% rise in oil prices can deteriorate current account balances by 40-60 basis points. Prolonged increases would only deepen these deficits.
- **Strong inflation pass through**: Because many emerging Asian economies have a relatively high weight of energy in their consumer inflation baskets, rising oil prices feed quickly into headline inflation. On average, a 10% increase in oil prices raises CPI inflation by about 0.2 percentage points.

Our base case had headline inflation across most of Asia rising in 2026 but still staying within most central bank targets. But a price shock of this magnitude – if it lasts – would likely push inflation above target ranges and increase the pressure on central banks to tighten policy sooner rather than later.

What the two scenarios would mean for financial markets and the global economy

In **Scenario 1**, the macro story is noise. A temporary oil spike, some safe-haven positioning, and back to the existing agenda of tariffs, growth differentials, and AI.

In **Scenario 2**, the channels are oil, uncertainty, and the impossible central bank dilemma these create together. In this scenario, oil prices could run toward $100-140. For European gas, if LNG markets start pricing in extended losses to Qatari supply, TTF could spike toward €80-100/MWh. Sustained high oil prices could meaningfully delay monetary policy easing. Even though an oil price shock could also be seen as deflationary, the recent inflation period will prevent most central banks from reacting with monetary policy easing to a new oil price shock.

The initial safe-haven reflex is clear.
Treasuries and Bund yields would move down, gold would increase, as we saw both this morning and as early as Friday, when markets started to anticipate military action. The safe-haven reflex fades if oil stays elevated and inflation re-accelerates.

On FX, investors will be contemplating a re-run of the March 2022 playbook, where US energy

independence saw the dollar rally broadly against the fossil fuel importing currencies of Europe and Asia. The Fed's broad trade-weighted dollar rallied 10%+ over a six-month period, where crude prices stayed elevated for a quarter, but European natural gas prices stayed sky-high for nearly six months.

Expect both the euro and the yen to come under sustained pressure from a prolonged spike in crude prices, while we could see some exceptionally sharp reversals in EM currencies involved in the carry trade. In Europe, that would leave the Hungarian forint as one of the most vulnerable, while there would also be much scrutiny on whether Turkish policymakers could manage outflows from the crowded lira carry trade. But in short, this year's virtuous circle of flows out of the dollar and into EM could reverse and turn vicious.

How the current energy supply risks compare to 2022

For oil and gas markets, there will likely be some parallels made with 2022 and Russia's invasion of Ukraine. The oil supply at risk from a successful blockade of the Strait of Hormuz is roughly 15-20% of global supply, depending on much supply the Saudis can divert by pipeline to the Red Sea. This is significantly higher than the 7-8m b/d of Russian oil supply (which is around 7-8% of global supply) that was at risk during the early days of the Russia-Ukraine war, when we saw Brent spike to almost $140/bbl.

However, helping to a certain degree at the moment is that oil inventories are more comfortable than they were in the lead up to Russia's invasion of Ukraine. OECD stocks are in the region of 200m barrels higher now versus prior to the Russia/Ukraine war. But still, a two-week full blockade would essentially see this buffer disappear, leaving significant upside to prices.

For natural gas, as much as 125bcm of LNG flows are at risk, which is around 3% of global natural gas consumption, but 22% of global LNG trade. However, the roughly 15bcm that Oman exports will be at less of a risk, given cargoes don't need to navigate the Strait of Hormuz, but will still be in close proximity to danger.

In the lead up to Russia's invasion of Ukraine, close to 160bcm of Russian gas (pipeline and LNG to the EU) was at risk. The market is relatively better positioned now, given the build up of LNG export capacity, largely from the US. Since the beginning of 2025 we have seen around 40bcm of US capacity starting up, while a further 14bcm is set to start this year, and there will be significantly more in the years ahead. However, in the immediate term, capacity additions fall well short of potential Persian Gulf supply losses.

A tighter market would see Asia and Europe competing more aggressively for LNG cargoes, pushing up prices. Price-sensitive buyers in Asia will likely step back from the market, while Europe would likely not make the same mistake as it did in 2022, where buyers bought aggressively regardless of price levels.

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Asia's outlook under higher oil prices

Heavy dependence on Middle Eastern oil leaves Asia vulnerable to sustained supply shocks. While inflation risks remain largely manageable at the moment given a low starting point, higher import bills will result in weaker trade balances with some currencies like PHP, THB, INR and KRW more vulnerable

Higher energy prices will weaken trade balances in Asia and lead to inflationary pressures

For now, Asia seems able to absorb the recent jump in oil prices. Inflation across much of the region is starting from relatively low levels and has generally been well contained. But the real question is how *high* and how *long* prices stay elevated – because that's what will ultimately determine the economic fallout.

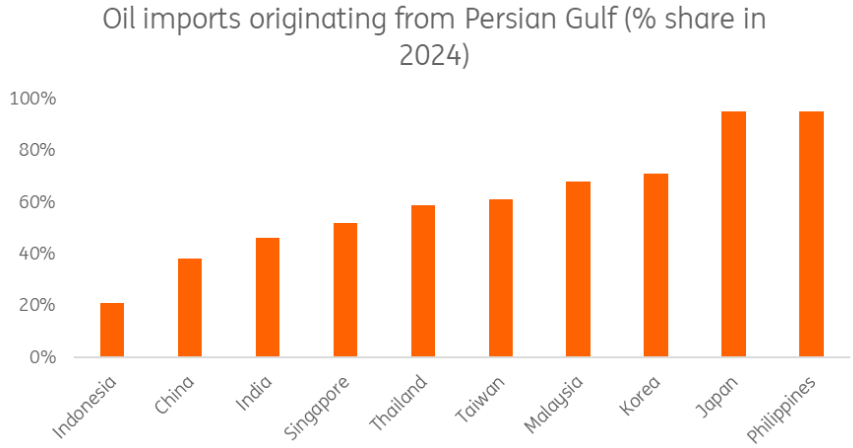
Asia is especially vulnerable to sustained oil price shocks. The region relies heavily on imported energy: apart from Malaysia and Australia, every major economy runs a sustained deficit in oil and gas trade, leaving them exposed when global prices surge. If higher prices persist, three factors will shape the impact.

Heavy dependence on Middle Eastern oil

A significant share of Asia's crude supply comes from the Persian Gulf. Japan and the Philippines rely on the region for almost 90% of their oil needs, while China and India import roughly 38% and

46% respectively. Any disruption in the Strait of Hormuz – a critical shipping lane – would restrict supply, potentially causing shortages that slow business activity and put pressure on manufacturing across Asia.

Over 90% of Japan and Philippines' oil imports come from the Middle East



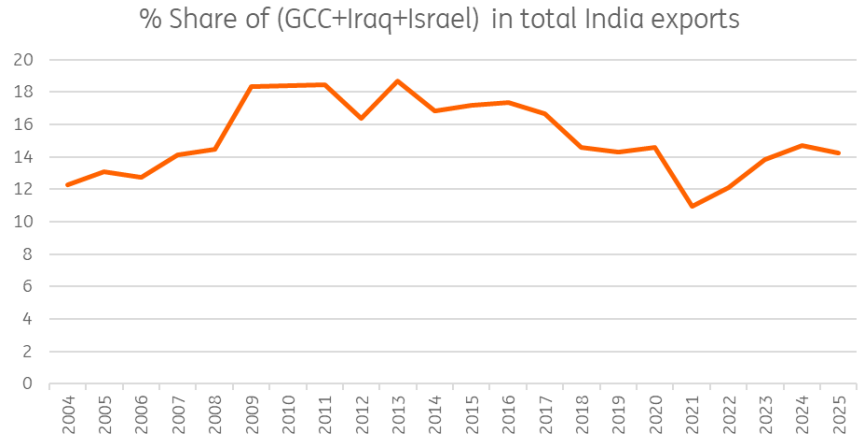
Source: United Nations, WTO

A double-edged sword for trade

Even without a physical supply disruption, higher global oil prices worsen trade balances and add to inflation pressures. Thailand, Korea, Vietnam, Taiwan, and the Philippines are the most exposed. A mere 10% rise in oil prices can deteriorate current account balances by 40–60 basis points. Prolonged increases would only deepen these deficits. The key beneficiary should be Australia, the only large exporter of oil and gas in the region.

It's not just the higher oil import bill that hurts – some Asian economies could also see their export growth take a hit. In recent years, many Asian exporters have been actively diversifying away from the US market because of rising US tariffs, and the Middle East has emerged as an important alternative growth destination. That makes the region's recent instability especially concerning. India is the most exposed to the Middle East-driven export demand, with China following closely behind. Any prolonged disruption in the region risks slowing this new export channel just as it was starting to gain momentum.

GCC export disruptions add another risk to Asia's trade balances

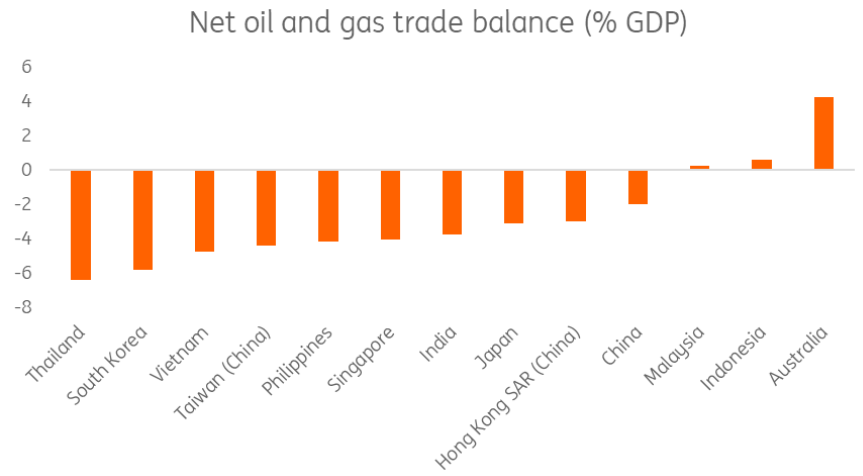


Source: CEIC

Weaker trade balances will put renewed pressure on Asian currencies

Even a short-lived jump in oil prices can have an outsized impact on FX markets. Recall how the less than two-week oil price spike in June 2025 was enough to pull down the PHP, KRW, THB, and JPY by roughly 1.5–3%, despite the brief nature of the conflict. While inflation didn't move much then because the conflict was so brief, a more prolonged period of elevated oil prices would be a very different story. A prolonged conflict, coupled with continued currency weakness, would feed more directly into inflation pressures across the region. And with Asia's heavy reliance on imported energy, currencies like the Thai baht, Korean won, Philippine peso, and Indian rupee remain particularly vulnerable to swings in oil prices and sustained deterioration in trade balances.

Asia runs large energy trade deficits



Source: United Nations, WTO

Strong inflation pass-through is possible – but fiscal cushions can help

Because energy makes up a relatively large share of consumer inflation baskets across emerging Asia, higher oil prices can, in theory, push headline inflation up quickly, especially as higher fuel costs often drive food prices higher too. Emerging Asia has 25-45% of its CPI baskets driven by food. That's why the most exposed economies, like India and the Philippines, are particularly vulnerable, where a 10% jump in oil prices could raise inflation by as much as 0.4 percentage points.

That said, the impact is far from uniform across the region. Several economies like Indonesia, Thailand and India are still partially shielded by fuel subsidies or regulated pricing, which dampens the direct pass through from global oil markets. On the other hand**,** the Philippines – also the worst impacted by higher oil prices – tends to see a stronger inflation hit because retail fuel prices are more market-driven and subsidies are limited.

Our base case had inflation across Asia rising but still staying within most central bank targets. But a price shock of this magnitude – if it lasts – coupled with currency depreciation could push inflation, for example, in the Philippines to the upper end of Bangko Sentral ng Pilipinas s 2-4% inflation target, increasing the pressure on the central bank to hold rates instead of cutting further. Countries like Indonesia and India, which benefit from fuel subsidies, should still retain some room to ease, though the probability of further cuts would be lower.

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Middle East escalation leaves significant upside for oil and gas markets

Oil markets are set to open significantly higher following US and Israeli attacks on Iran. How sustained any spikes are depends on how long attacks persist. Global LNG markets are also facing significant supply risks due to this weekend's action

Oil prices look set to open higher following US and Israeli action on Iran over the weekend

US strikes come sooner than expected, while Iran responds aggressively

While action taken by the US and Israel against Iran this weekend may not be a complete surprise, the timing is, given that the US and Iran were due for another round of nuclear talks. Therefore, there was still a glimmer of hope that a diplomatic solution could be found. This is clearly not the case.

The attacks on Iran have also made it clear what US ambitions are. It is not purely about ensuring that Iran doesn t have the ability to produce nuclear weapons, but also to push for regime change. This was clear in President Trump's speech urging Iranians to take over their government and that it will be theirs to take. Meanwhile, the successful targeting of Iran's Supreme Leader Ali Khamenei only reinforces this view.

However, actual regime change is easier said than done, particularly when the US and Israel have no ground presence. This makes any shift in power more difficult, while also meaning that any potential transition could be very messy if led by Iranian civilians, as President Trump has called

for.

While it is still very early days and the situation is developing at a fast pace, it does not appear that this military action will be quick and short-lived, like seen in June 2025. Israel has said that action will take as long as needed.

There has also been a strong response from Iran, targeting Israel, US bases across the region and civilian infrastructure in some neighbouring Gulf states. The strong response from Iran highlights that the regime is essentially fighting for survival, while attacks on neighbouring countries could be an attempt by Iran to get these Gulf countries to put pressure on the US to end its strikes.

Energy markets face significant supply risks

It appears that we are moving towards our third potential scenario that we published last week, where we see prolonged military action and an aggressive response from Iran.

For energy markets, we expect an aggressive price response when markets open. ICE Brent could trade into the region of $80-90/bbl immediately, with risks for further strength towards $100/bbl and ultimately $140/bbl (worst-case scenario), if we are to see significant and extended oil supply disruptions.

Meanwhile, European gas and Asian LNG prices could potentially see relatively more aggressive moves, given the risks to Qatari LNG flows and the market being relatively tighter. If LNG/gas markets start to price in an extended period of losses to Qatari LNG supply, TTF could potentially spike to EUR 80-100/MWh ($28-35/MMBtu).

In terms of potential impact, there have already been unconfirmed reports of strikes on Iran's Kharg Island, where basically all of Iran's oil is exported from. This would be in the region of 1.5m b/d of oil, which goes predominantly to China.

Meanwhile, for gas markets, as a precaution, Israel has temporarily shut its Leviathan and Karish gas fields, which produce roughly 17bcm per year.

But most importantly, Iran has also reportedly announced the closure of the Strait of Hormuz. This is a key choke point for global energy markets, with 20m b/d of oil and more than a 100bcm of LNG per year moving through it, which is around 20% of global LNG trade. However, it would be difficult to enforce a closure and any attempts to do so would likely see a strong response from the US.

Vessels are becoming increasingly reluctant to navigate the strait given the risks and the longer this reluctance persists, the more of an impact it will have on oil and gas markets.

If needed, there is the potential to divert some oil flows via pipeline, which would reduce the oil supply at risk to around 15m b/d (9m b/d of crude oil and 6m b/d of refined product). Saudi Arabia is able to pipe some oil to its west coast and ship from the Red Sea. However, this supply could still face disruptions if the Houthis in Yemen, who are backed by Iran, start to attack tankers moving southbound through the Red Sea.

The move would not be isolated to crude oil prices, as refined product cracks could also see strength. In the region of 6m b/d of refined products flows through the strait, which would be at risk, while disruptions to crude oil flows would also have an impact on refinery runs elsewhere,

particularly in Asia, where the bulk of energy flows.

Any blockade will see plenty of pressure from other governments, particularly in Asia, to allow shipments through the choke point. Asia has a significant exposure to energy supplies from the Persian Gulf. 84% of oil and 83% of LNG that passes through the Strait of Hormuz ends up in Asia, with China the key market.

How could energy markets deal with any supply disruptions?

If the market sees significant oil supply disruptions, the quickest action we are likely to see from governments is a coordinated release of oil from strategic petroleum reserves (SPR). There will be plenty of focus on the US SPR, which is about 35% smaller than what it was at the start of 2021, given it was used heavily following Russia's invasion of Ukraine in 2022. However, at roughly 415m barrels, there is room for further emergency releases to take some pressure off the market. Clearly, releases from reserves can only offer temporary relief.

OPEC+ could also potentially help through supply increases. The group agreed on a larger-than-expected supply increase of 206k b/d for April at its meeting on 1 March, more than the 137k b/d expected. However, if we do see sizeable supply disruptions due to this conflict, this supply is not going to move the needle much. In addition, a key issue is that the bulk of OPEC spare capacity sits in the Persian Gulf. Therefore, if there are blockades in the Strait of Hormuz, this additional supply will be of less help to the market.

Higher prices will also see a supply response. And given its shorter lead time, the market will be focused on any supply response from the US shale industry. However, this will not be immediate, with it taking 6-12 months to bring additional supply onto the market.

For the global LNG market, it would also be difficult to deal with disruptions. The market is coming out of a period of tightness and while there is plenty of US LNG export capacity which is scheduled to start up in the coming years, including some capacity this year, it will be too little and too late to offset the volumes at risk from Qatar and the UAE. Instead, higher prices will need to persist in an attempt to try to balance the market through demand destruction.

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Germany's 'super election year' – 5 elections determining the government's reform efforts

From Baden-Württemberg's industrial heartland to Saxony-Anhalt's AfD reckoning, 2026 is a test of whether Berlin's grand coalition can survive the year it promised to deliver

German Chancellor Friedrich Merz

Every four years, the United States has its 'Super Tuesday'; the day when most states have their primary elections in the presidential race. Every few years, Germany has its very own 'Super Election year'; a year in which several regional state elections are not only a test case for the federal government but can also reshape the political landscape. Next week, the state elections in Baden-Württemberg on 8 March will kick off an election year with five state elections. Rhineland-Palatinate will be the second on 22 March, followed by Saxony-Anhalt, Berlin and Mecklenburg-Vorpommern in September. Last but not least, there will be three municipal elections as well this year: in Bavaria, Hesse, and Lower Saxony. Speaking from historical experience, the outcomes of these regional elections are always driven by a mix of federal/national factors and figures but also by local or regional circumstances. Sometimes one is more relevant than the other, and vice versa.

However, one thing is for sure – this year the elections will be seen as a first test case for

Chancellor Friedrich Merz and the popularity of his government, but also the stability of the coalition going forward. It will serve as a test case for the Alternative for Germany party (AfD) as the elections in the autumn, in particular, could lead to the first ever AfD Minister-President in a German state. But there is more: state governments appoint members to the Bundesrat, the upper chamber of parliament, which has a say in major legislation. A federal government led by the Christian Democratic Union (CDU) facing Bundesrat opposition from left-leaning state coalitions could find its reform agenda slowing to a crawl. Conversely, a string of CDU gains in the Länder would not only strengthen Merz's hand in the upper chamber but send a powerful political signal that his government's programme enjoys popular support outside the Berlin bubble.

A problem in Germany (or, for that matter, all of Europe) is that there is no synchronised election calendar. With 16 regional states, the next important election is never far away, often affecting national politics and particularly strategic decision-taking, with implications even at the European level. Just think back to the Greek crisis when the decision on a bail-out was postponed until after elections in the German state Northrhine-Westfalia. In times when the economic business model of the entire country needs an overhaul, the conflict between short-term orientation in regional elections and long-term reforms becomes a real problem.

The five elections

- Baden-Württemberg, 8 March. The opener and, for now, the most closely watched. The CDU wants to reclaim the Minister-President position for the first time since 2011. We ll also be watching the results for the AfD in one of Germany's most important economic powerhouses, a state that is currently feeling the pain of industrial transformation more acutely than almost anywhere else. More on this below.
- Rhineland-Palatinate, 22 March. The Social Democratic Party (SPD) has governed here continuously since 1991. Losing this state, where Helmut Kohl once ruled for the CDU, would be a substantial blow to an already struggling junior coalition partner to Friedrich Merz and could push the party into an existential crisis that reverberates back to Berlin.
- Sachsen-Anhalt, 6 September. This is where the AfD question becomes acute. The party is polling at 38-40%, ahead of any combination of other parties that could credibly govern. The CDU has held the premiership here since 2002, but forming a majority without the AfD is, according to current polls, only possible with a mathematically fragile multi-party arrangement. The firewall, the CDU's stated refusal to govern with the AfD, faces its most serious test here. If the firewall holds and a patchwork coalition stumbles, the AfD draws exactly the lesson it wants: that the mainstream parties' unwillingness to work with it is the problem. If the firewall cracks, Germany's political landscape shifts permanently.
- Berlin, 20 September. CDU incumbent Kai Wegner has governed with the SPD since 2023 in a coalition that is functional but not inspiring. His recent handling of the power outage and winter weather chaos has not helped. Berlin is an unusual battlefield where the Left, Greens, SPD and AfD all compete in relatively close proximity, and the result could produce a governing coalition that looks nothing like what anyone in Berlin's federal government would prefer.
- Mecklenburg-Vorpommern, 20 September. Another eastern state, another AfD stronghold. Manuela Schwesig's SPD has governed here since the late 1990s, but the AfD is polling as the clear frontrunner at around 30-35%. Schwesig is popular personally, which may soften the blow, but coalition mathematics here too are deeply uncomfortable. A second SPD defeat on the same evening as Berlin would be a brutal night for Merz's junior coalition

partner.

Focus on Baden-Württemberg

Baden-Württemberg is not a typical German state. With nearly 11 million inhabitants, it is Germany's third-largest by population and one of its most economically significant. Home to Mercedes-Benz, Porsche, Bosch, Trumpf and SAP, it was long the benchmark for what industrial policy can achieve when it works.

The past tense is deliberate. The state economy contracted 0.4% in 2024, performing worse than even the weak national average. Household-name companies are recording losses and are announcing job cuts. Some have brought parallels with the Ruhr Valley. What coal and steel were to that region, the combustion engine could be to Baden-Württemberg. The Ruhr's decline took decades, was subsidised at enormous cost, and never fully resolved. The warning is not that transformation is impossible, but that it can be fatally delayed by political timidity.

The state has been governed by the Greens since 2011, when Winfried Kretschmann became Germany's first and only Green Minister-President. He won elections largely on personal trust that transcended his party. He is not running again, and with him goes the electoral magic that kept the Greens ahead of the CDU in a state that is, by temperament and tradition, conservative.

The CDU s Manuel Hagel, 35, is currently the frontrunner. Already his party's youngest ever state Fraktion chair, he has assembled a visible alliance with Bavaria's Markus Söder and Hesse's Boris Rhein to signal mainstream Union credentials. His platform centres on deregulation, affordable energy and support for industry, well-suited to Baden-Württemberg's mood.

The Greens' Cem Özdemir, former federal agriculture minister, born in Bad Urach to Turkish immigrant parents and one of Germany's most recognisable politicians, is the more intriguing candidate. He is running as a pragmatist, deliberately distancing himself from the prescriptive, regulation-heavy image that has become the Greens' electoral liability. His personal approval rating, at 39% for Minister-President, dwarfs Hagel's 18%. The problem is that personal popularity does not automatically transfer into party support. The latest polls put the CDU at 28%, the Greens at 22%, and the AfD at 20%, double its 2021 result of 9.7%.

What is at stake for Friedrich Merz

Merz came to the chancellorship with a mandate and a compliant coalition partner. One year on, Germany has seen an enormous U-turn on fiscal policy but only tentative signs of structural reform. The promised breakthrough on reforms regarding welfare costs, competitiveness or the structural fiscal gap beyond the special purpose vehicle for defence and infrastructure has not arrived.

The March elections are the early warning system. A CDU victory in Baden-Württemberg would be a significant symbolic win. A narrow loss, or a result that leaves the CDU as the junior partner, would be the first signal that expectations have run ahead of delivery. For the SPD, Rhineland-Palatinate is existential in the way that Baden-Württemberg is for the CDU.

There is also the Bundesrat dimension that matters beyond the headlines. State governments appoint members to Germany's upper chamber, which has a say in major federal legislation. A string of CDU gains would strengthen Merz's hand in the Bundesrat and his legislative room for manoeuvre. A string of losses would constrain it at precisely the moment when his government

needs to push through reforms that require cross-chamber support.

The September elections are a different order of challenge. Here the question is not whether Merz's CDU wins, but whether it can prevent the AfD from crossing the threshold that makes a stable coalition government impossible. Every time the firewall holds under pressure, Merz's authority within his own party is reinforced. Every time it looks like it might crack, the AfD has its argument handed to it: that the mainstream parties' refusal to engage with it is leading to governmental dysfunction rather than solving it.

Super election year will determine how much reform effort to still expect from Merz

Germany's Superwahljahr – a year of multiple elections – is not just a test of Merz's popularity. It is a test of whether the political mainstream can still govern effectively enough that voters see a reason to stay within it. The last German leader with the courage to push through painful structural reform was Gerhard Schröder. His reforms outlasted him. His successors have largely avoided his fate by also avoiding his ambition.

The moment to act is before the crisis looks irreversible, not after. Baden-Württemberg's voters know this story well. On 8 March, they begin to write the next chapter. This is the first of five chapters this year that will also determine the pace of any new reform efforts.

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Is UK political drama really a disaster for gilts? It's complicated...

UK borrowing costs have tumbled through February, but will politics put an abrupt stop to that? Tuesday s Spring Forecast is likely to emphasise that the short-term fiscal backdrop looks brighter, even if longer-term challenges haven t gone away. We think neither fact is likely to change drastically this year, regardless of politics

UK Chancellor Rachel Reeves and Prime Minister Keir Starmer. Tuesday's statement might highlight an improved short-term fiscal backdrop, but deep-seated challenges are likely to persist

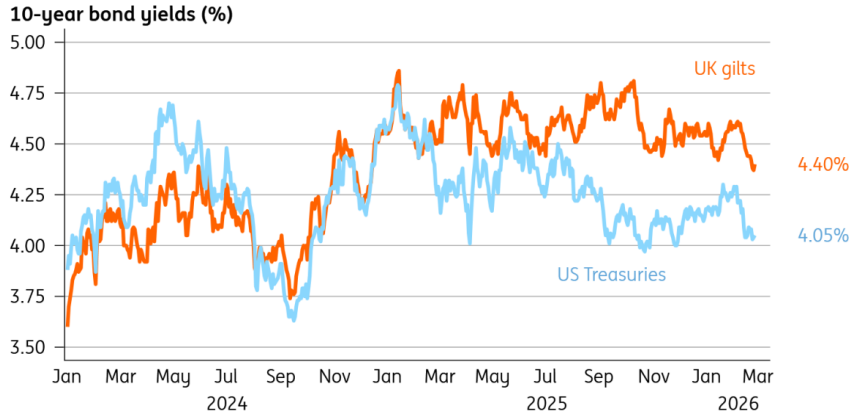
Investors have fallen back in love with UK gilts

UK government bonds (gilts) are back in vogue. 10-year yields are down more than 20 basis points on the mid-February highs, helped by lower US rates. London-based bond investors we spoke to earlier this month were overwhelmingly overweight (ie holding more) gilts.

Diminishing inflation risks are increasingly cited as a source of optimism. The two-year swap rate – a gauge of Bank of England policy expectations – is at new lows. More recurrent US equity market jitters make gilts more attractive too, as a shelter from AI-related volatility. The spread between gilt and swap rates is narrowing, suggesting healthy demand.

And for now, all that's helping to keep political concerns at bay. Risk premium in gilts has evaporated. Yields are much closer to our long-term fair value estimates.

UK gilt yields have fallen with US Treasuries



Source: Macrobond, ING

The "Spring Forecast" looks like a non-event

But can that last? There's no shortage of political flashpoints over coming weeks – from the fallout of this week's by-election in Gorton and Denton, to challenging local elections on 7 May. Nationally, Labour are polling 18% according to YouGov, down from around 35% at the 2024 general election. Keir Starmer's position as Labour Party leader – and therefore as Prime Minister – still appears vulnerable.

That all threatens to overshadow next Tuesday s "Spring Forecast". UK Chancellor Rachel Reeves will be keen to avoid a re-run of last year's statement, where financially modest but politically seismic welfare changes sparked a huge political backlash and ultimately U-turns.

Fortunately for the Treasury, the Office for Budget Responsibility's forecasts are likely to be little changed – certainly nothing that's likely to drastically alter the comfortable levels of "headroom" available under the fiscal rules. Next week s announcement is likely to be low-key.

So what happens if leadership noise resurfaces? A few short-lived gilt sell-offs last year offer a clue to the financial market reaction. A new prime minister would likely mean a new chancellor (finance minister). A new chancellor might mean new fiscal rules. And new fiscal rules would presumably herald more borrowing and gilt issuance, potentially complicating the Bank of England's rate-cutting cycle. UK yields likely go higher again if those risks resurface.

That may well be the short-term playbook, but is it the right reaction? The reality looks more nuanced.

For one thing, Labour Party rules don't make it easy to change leader. 20% of Labour MPs need to back a rival candidate to trigger a contest. That's 81 lawmakers. Even if that number push for a change in leader, can they all agree on a single nominee?

In the event a Labour leadership challenge is triggered, though, we think there are four questions we'd need to answer:

Would there actually be a change in the fiscal rules?

We aren't so sure. The 2022 mini budget crisis, which temporarily lifted mortgage rates, is still etched firmly in the national political memory. Leadership contenders, wary of doing anything that might spark a repeat sell-off in bond markets, will be under enormous pressure, we suspect, to commit to the rules as they are currently written. If they do, that would be received positively by bond markets.

2 Would a new leader dramatically alter the near-term fiscal story?

The backdrop is looking more positive. We think it would take a lot to stop the budget deficit falling further this year.

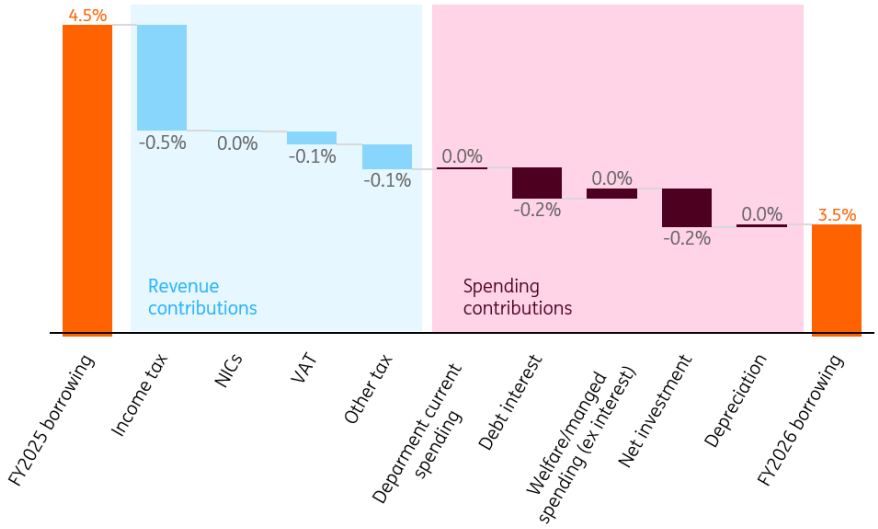
The FY2025 deficit looks like it will come in at 4.3%, below the Office for Budget Responsibility s (OBR) 4.5% forecast and the 5.1% recorded in the previous year. It's on track to fall to 3.5% this year. Gilt sales, though still elevated, are set to be materially lower – circa £250bn vs £300bn in the current fiscal year.

Much of the forecasted deficit decline – 0.5ppt – is down to rising income tax receipts, a consequence of the ongoing freeze in payment thresholds. Inflation means an increasing number of people get dragged into higher tax brackets. No chancellor is likely to row back on that policy. Another 0.2ppt of the decline is owing to a slight fall in net investment as a share of GDP – again, something that's not likely to change overnight given the lags involved with capital spending.

To offset those two factors and prevent the deficit falling below 4.3% would require a £23bn increase in (for example) day-to-day departmental spending budgets. That would be a 6% real-terms increase – significantly higher than the 1.8% that's budgeted, or the 3-3.5% increases we've seen over the past couple of years. And that sort of spending increase wouldn't be permissible under the fiscal rules, unless it were temporary.

In short, borrowing is coming down in the near-term and the bar to stopping that is high.

Contributions to the fall in the UK deficit between FY2025 and FY26 (OBR forecasts)



Source: Office for Budget Responsibility, ING

3 Would an increase in borrowing/spending move the needle for the Bank of England?

In theory – yes. Higher spending means higher growth and ultimately inflation over the two-year horizon the Bank bases its decisions on. But in practice? Our view is that the BoE will cut rates in March and June. The next budget isn't until October/November.

We wouldn't rule out further cuts beyond June. And markets may be tempted to start pricing that, should the inflation outlook continue to improve. A stimulative budget might stop or at least delay more easing. But if we're right that the easing cycle is done and dusted by the summer, how likely is it that the Bank comes in and hikes rates once or twice in response to looser fiscal policy? The answer is "not very".

4 What would a leadership contest mean for the UK's longer-term fiscal challenges?

This is where things look more problematic – regardless of who is in charge.

Beyond 2026, the Treasury's spending plans become unrealistically austere. Real-terms departmental day-to-day spending is budgeted to remain flat in 2029 – and falling in per-capita terms. And 2029, remember, is an election year.

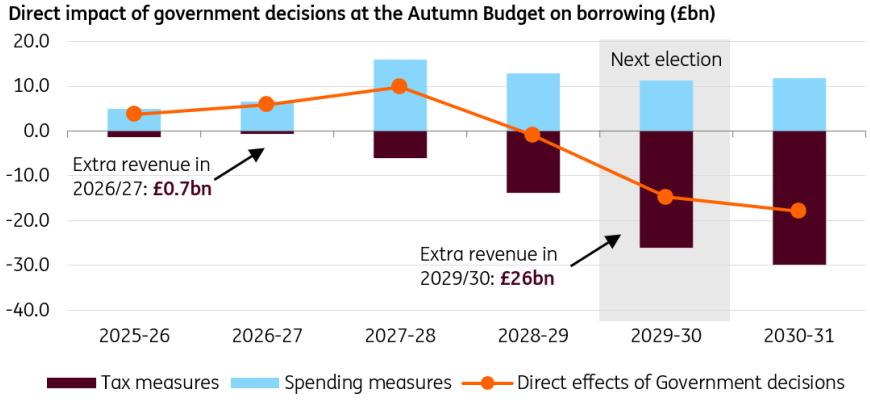
Politics isn't the only reason those spending plans are likely to eventually get topped up. Reports suggest the government is planning to boost defence spending so that it reaches 3% of GDP in the current parliament. The latest budget plans have it rising to 2.5% by 2027 and staying there. Getting to 3% by 2029 comes at an annual cost of £17bn.

A lot of that would likely be capital spending – military equipment – which isn't counted against the main fiscal rule, requiring revenue to balance out day-to-day spending by FY2029. But it would

count against the second rule, to stabilise Public Sector Net Financial Liabilities (a broader measure of public debt) as a share of GDP.

Headroom against this target is £24bn. Given debt is a stock measure, any extra spending will accumulate over time. The earlier the defence spending commitment is reached, the more likely it is that this target gets broken.

November's tax hike announcements backloaded to 2029



Source: Office for Budget Responsibility, ING

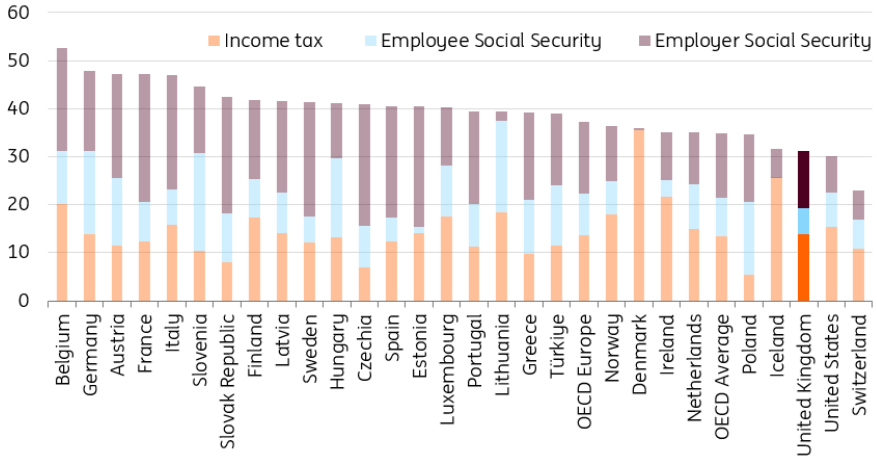
That leaves the government with a painful choice. Does it hike taxes, which are already going up in 2029? Most of the planned revenue-raisers in last year's budget don't kick in until then.

Remember that tax on the average UK worker across income tax and employee/employer National Insurance (social security) is among the lowest in Europe as a proportion of total labour costs. In the absence of higher economic growth, the uncomfortable reality is that if the government wants (or needs) to spend more, it will be hard to do so without raising at least one of the major tax rates.

Yet that's going to get harder, politically, as we approach the next election. That might shift focus back to the alternative, which is to boost borrowing via a change in fiscal rules after all.

So, while the near-term fiscal story looks better – and should remain the dominant theme for markets – it doesn't take away from the fact that difficult and currently unanswered questions loom later this decade.

Tax rates as a share of average labour costs (%)



Source: OECD, ING analysis

UK data has been recalculated to reflect April 2025 employer NI increase. OECD Europe calculated by ING. Labour costs defined as average salary plus employer social security contribution.

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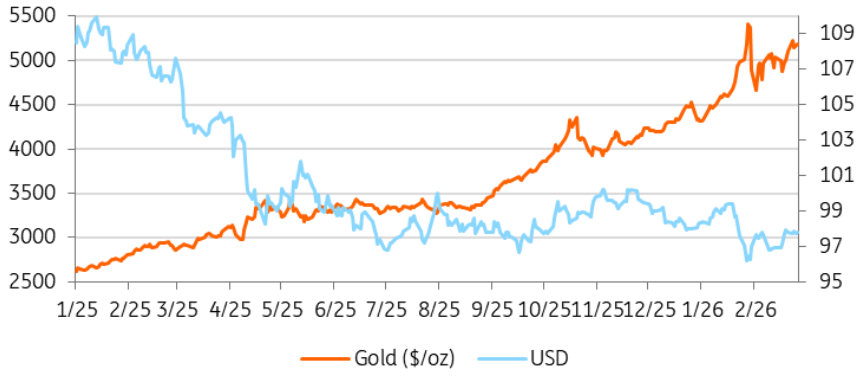
Why the gold rally isn't over yet

While gold prices have consolidated after January's sharp run up and a subsequent sell off, we do not believe the rally has run its course

Despite the recent sell-off, gold prices remain supported by central bank buying, including Poland and China

Momentum may moderate from here. But the structural drivers underpinning the market remain firmly in place – and in some cases are strengthening.

Gold's structural support remains intact despite January sell-off



Source: Refinitiv, ING Research

1. Central banks are still buying

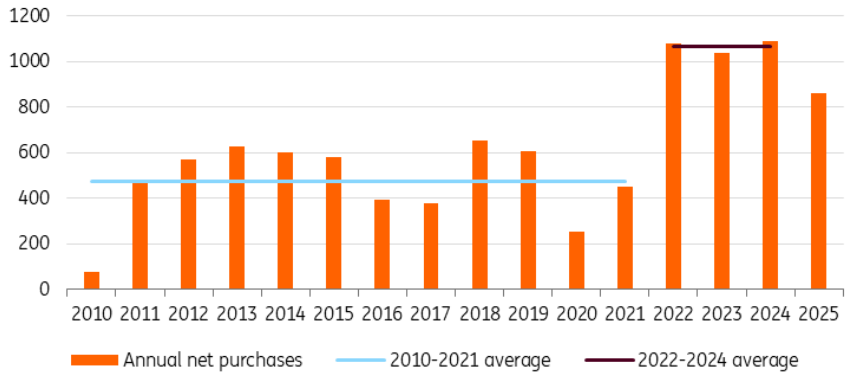
Official sector demand remains the backbone of the gold market. Since Russia's invasion of Ukraine in 2022, central banks, particularly across emerging markets, have accelerated reserve diversification in response to sanctions risk, geopolitical fragmentation and a desire to reduce reliance on the US dollar. Crucially, this demand has proved steady and largely price insensitive.

Poland, the world's largest reported gold buyer last year, has signalled further purchases as it targets a higher absolute level of gold holdings rather than a fixed share of reserves. It is now targeting around 700 tonnes of gold, up from roughly 550 tonnes, rather than a fixed 30% share of reserves. This underscores that reserve accumulation remains strategic, not tactical.

China's central bank also extended its gold buying to a fifteenth month in January.

As long as geopolitical fragmentation persists, a meaningful reversal in central bank gold demand looks unlikely. This structural floor continues to underpin the market at elevated price levels.

Central bank demand remains resilient



Source: World Gold Council, ING Research

2. Geopolitics back to the forefront

Geopolitical risk has re-emerged as a dominant macro driver. From renewed Middle East tensions to trade frictions and tariff threats, investors are navigating a more uncertain global environment. Policy unpredictability, particularly around trade, is increasing volatility across asset classes. Against this backdrop, safe-haven demand remains well supported. Gold's role as a hedge against geopolitical and policy shocks is once again in focus.

3. Fed easing could add a tailwind

A shift in the US monetary policy backdrop could provide an additional tailwind for gold. While the Federal Reserve remains cautious, the balance of risks is gradually tilting towards easing as growth momentum cools and inflation continues to normalise.

Our US economist expects the Fed to begin cutting rates in the second quarter, with policy becoming incrementally less restrictive over the coming quarters. Even a modest easing cycle would be supportive for gold, lowering real yields and reducing the opportunity cost of holding non yielding assets.

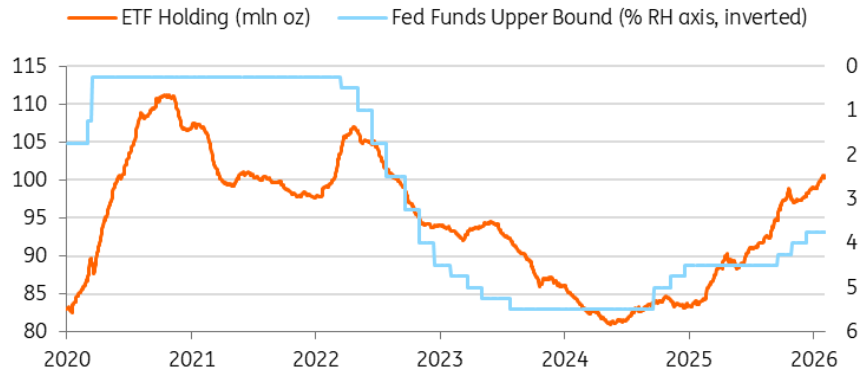
4. ETFs showing renewed appetite

ETF positioning remains well below the 2020 peak, leaving room for further inflows. After a period of consolidation, gold ETFs are once again attracting investor interest. While central bank buying continues to anchor the market, ETFs have the capacity to amplify price moves.

If rate cut expectations firm or geopolitical risks intensify, a renewed wave of ETF inflows could provide another leg higher for gold prices.

Historically, ETF holdings tend to rise alongside prices and are closely linked to expectations for US monetary policy, reinforcing the case for stronger inflows as the Fed moves towards easier policy.

ETF flows respond to shifts in Fed policy



Source: US Fed, Refinitiv, ING Research

5. Digital dollars and reserve evolution

Reserve evolution is no longer confined to central banks. The rapid growth of US dollar-backed stablecoins has created a new institutional buyer of reserve assets.

Stablecoin issuers, most notably Tether, have become significant buyers of reserve assets, including US Treasuries and increasingly gold.

Tether alone purchased over 70 tonnes of gold last year, second only to Poland among reported buyers, and now holds around 140 tonnes across its reserves and gold backed token. If gold remains part of this reserve strategy, stablecoin growth could represent an additional structural source of demand, behaving more like central bank buying than retail flows.

While still smaller in scale, this channel adds another layer of structural support.

Momentum may slow, but the case for gold remains

The path higher is unlikely to be linear. At record price levels, physical demand is becoming more price sensitive, and periods of consolidation – or short-term corrections – should be expected.

However, the structural pillars of this rally – central bank diversification, geopolitical fragmentation, potential policy easing and renewed ETF interest – remain intact. For now, the broader environment continues to favour gold.

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